

sure it is correct. If more important matters are gone into, subsequent events may make the report look quite silly. Therefore, there is a strong temptation to fill up as much space as possible with indisputable facts, whether or not the facts are significant. However, many people in the financial community place emphasis on this type of prior years' statistics for a different set of reasons. They seem to be unable to grasp how great can be the change in just a few years' time in the real value of certain types of modern corporations. Therefore they emphasize these past earnings records in a sincere belief that detailed accounting descriptions of what happened last year will give a true picture of what will happen next year. This may be true for certain classes of regulated companies such as public utilities. For the type of enterprise which I believe should interest an investor desiring the best results for his money, it can be completely false.

A striking example of this centers around events with which I had the good fortune to be quite familiar. In the summer of 1956, an opportunity arose to buy a fair-sized block of shares in Texas Instruments, Inc., from its principal officers who were also its largest stockholders. Careful study of this company revealed that it rated not just well but magnificently in regard to our fifteen-point test. Reason for the officers to sell appeared entirely legitimate; this occurs frequently in true growth companies. Their holdings had already advanced so much that several of them had become millionaires so far as their holdings in their own company were concerned. In contrast, their other assets were relatively negligible. Therefore, particularly since they were selling but a tiny part of the shares they owned, some diversification seemed entirely in order. The ever-present possibility of estate tax liability alone would be sufficient to make such a course prudent from the standpoint of these key executives, regardless of the future of their company.

At any rate, negotiations were completed to acquire these shares at a price of 14. This represented twenty times the anticipated 1956 per-share earnings of about 70¢. To anyone who gave particular weight to past statistics, this seemed well beyond the bounds of prudence. Per-share earnings had been reported at 39¢, 40¢, 48¢, and 50¢ for the prior four years of 1952 to 1955 respectively—hardly an exciting growth record. Even more depressing to those who subordinate the more important factors of management and current business trends to superficial statistical comparisons, the company,